The Catalina Solution:

NOW is the Right Time, Right Place, for the Right Message to the Right people

The Catalina Solution will grow Sales & Awareness

Test approvals are lined up awaiting ISD interface time

Catalina reaches right customers with relevant message at right time and assures prudent use of National Ad dollars

Questions to: david.reed@catalinamarketing.com
727-563-5662

CATALINA UNIVERSITY

The Catalina solution at Wal-Mart will Increase your Comp sales by +5% to +15% by category* and answer questions like these:





When is less really more?

On average only 3.5% of all US HH will make up 80% of a clients brand volume.

This small audience will determine your plan's success or failure.
Would you like to hit your target's bulls eye?

CATALINA MARKETING



What if your demographic media target and actual buyers were not the same?

*You might be off by as much as **88%**.*
Wouldn't you want to be the first to know?

CATALINA MARKETING



How fast is my brand bucket leaking?

29% of your loyal buyers will not buy your brand next year.

Oh, and another 40% is on the way out the door.
Would you like to know who they are before they leave?

CATALINA MARKETING

* Total US Wal-Mart store comps +2 to +3%

Catalina Pilot 2007 Wal-Mart Approvals & Overview

Pilot Specs

- ✓ 121 Stores in Central Plains & Home Office
- ✓ Pharmacy: 2 CHR, 3 Color POS printers
- ✓ Content: Advertising, price points
- ✓ Timing: Pending ISD Prioritization

Pilot Approval Milestones		Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sept	Oct	Nov	Dec
Executive Sponsor	COO - Simon												
Merchandising Sponsor	SVP - Beahm												
Marketing Sponsor	Dir - Hogan												
Marketing Leadership Team	Quinn & Team												
Security Risk & Compliance Review Doc submitted	POS ISD - White, Mohler												
Joint Kickoff Meeting	Pharmacy Group												
ISD Privacy & Security[1]	ISD - Mohler, Kilgo												
Corp Ops - Store Experience	VP - Hoodis, R. Webb												
Store Ops	Reg Mgr - Miller												
Supplier participation	Various												
WMT Legal													
Signature Agreement	SVP - Beahm												
Site Survey / Store Ops	Reg RPh Mgr - Siebolt												
Pharmacy / Front lane checkout printer placement	District RPh Mgr, L. DiPalma												
Sponsorship / support reconfirmed	Simon, Quinn												
Sam's Club participation	Dir - Matherly												
Signature	SVP - Beahm												

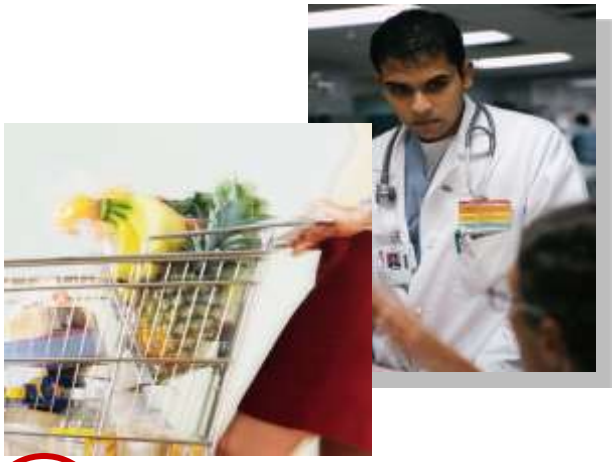
[1] Also in attendance were 2 Pharmacy System ISD

CATALINA UNIVERSITY

 CONFIDENTIAL © 2008 REPRODUCE BY PERMISSION ONLY

How it Works: Process & Tools

Behavior insights deliver targeting opportunity



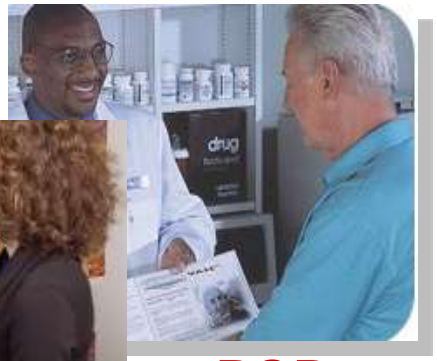
1. **Behavior information captured on every item, every trip**



2. **Targeted Customer or Item recognized at checkout (POS / POD)**



POS



POD

(HIPAA Compliant)

3. **Deliver relevant printed offers & messages at Wal-Mart to customers**

Process utilizes Catalina's consumer behavior database---The largest in the world.

CATALINA UNIVERSITY

Examples of the full color printed communication

Heighten awareness and gain trial

Targeted Shopper or UPC









Actual Size

CATALINA UNIVERSITY

 CONFIDENTIAL © 2008 REPRODUCE BY PERMISSION ONLY

Catalina Advertising Works

1. **Volume gains** Products realized an average volume increase of **+15.3%** .

2. **Awareness and Recall** Awareness and recall grew an average of **17 points**. A +24 point increase was achieved among shoppers that had not previously purchased the advertised product.

3. **High Readership.** Readership of **80%** and higher is achieved because customers find the ads to be informative and relevant.

The Golden Rule: Reaching the right consumer, with the right message, at the right time, will deliver very compelling results

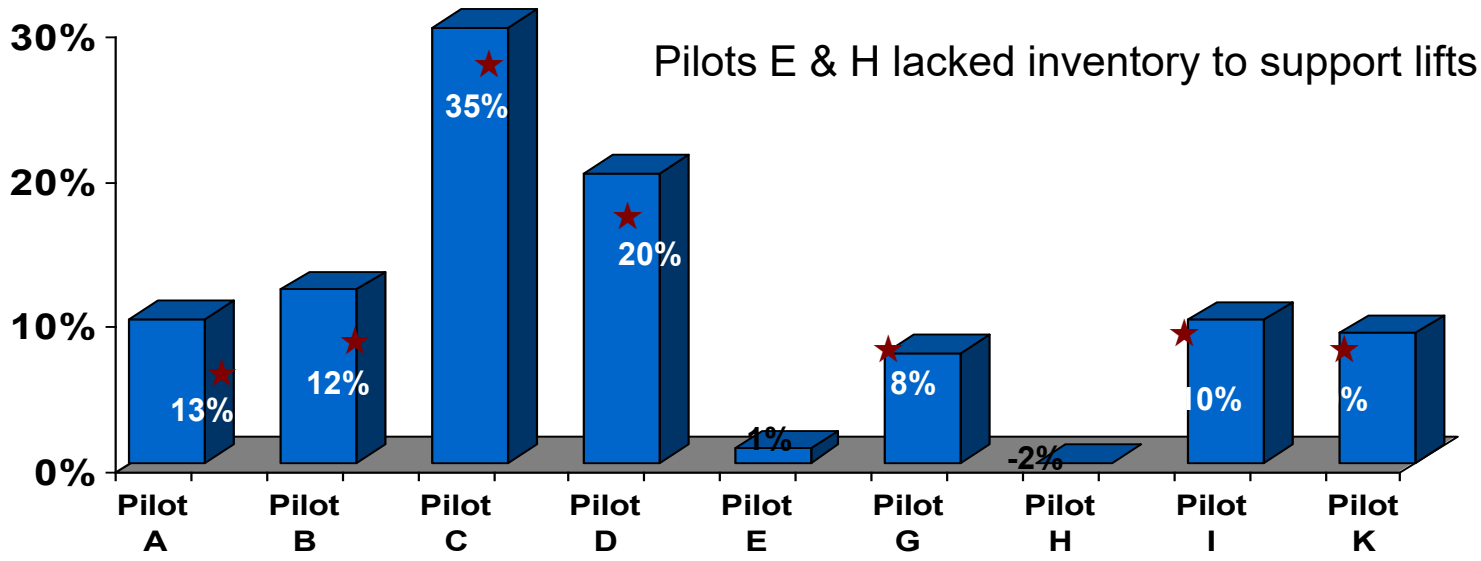
Only Catalina's patented process and world's largest shopping behavior database accomplishes highest results

CATALINA UNIVERSITY

 CONFIDENTIAL © 2008 REPRODUCE BY PERMISSION ONLY

Deliver sales lift of +15.3% using the Catalina system

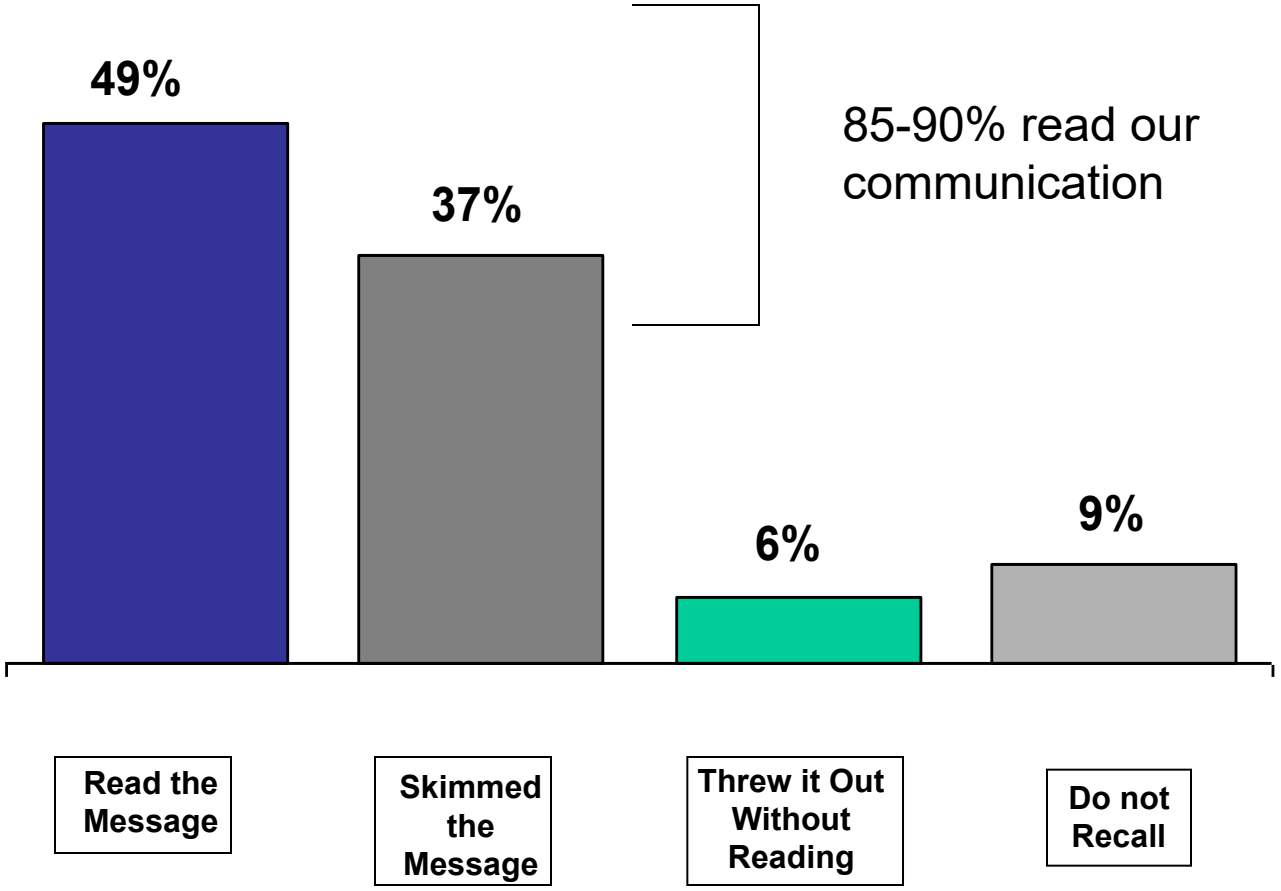
Volume Lift of Advertised Product due to Advertising Distribution



★ Indicates a significant difference between test & control at 90% confid. level.

CATALINA UNIVERSITY

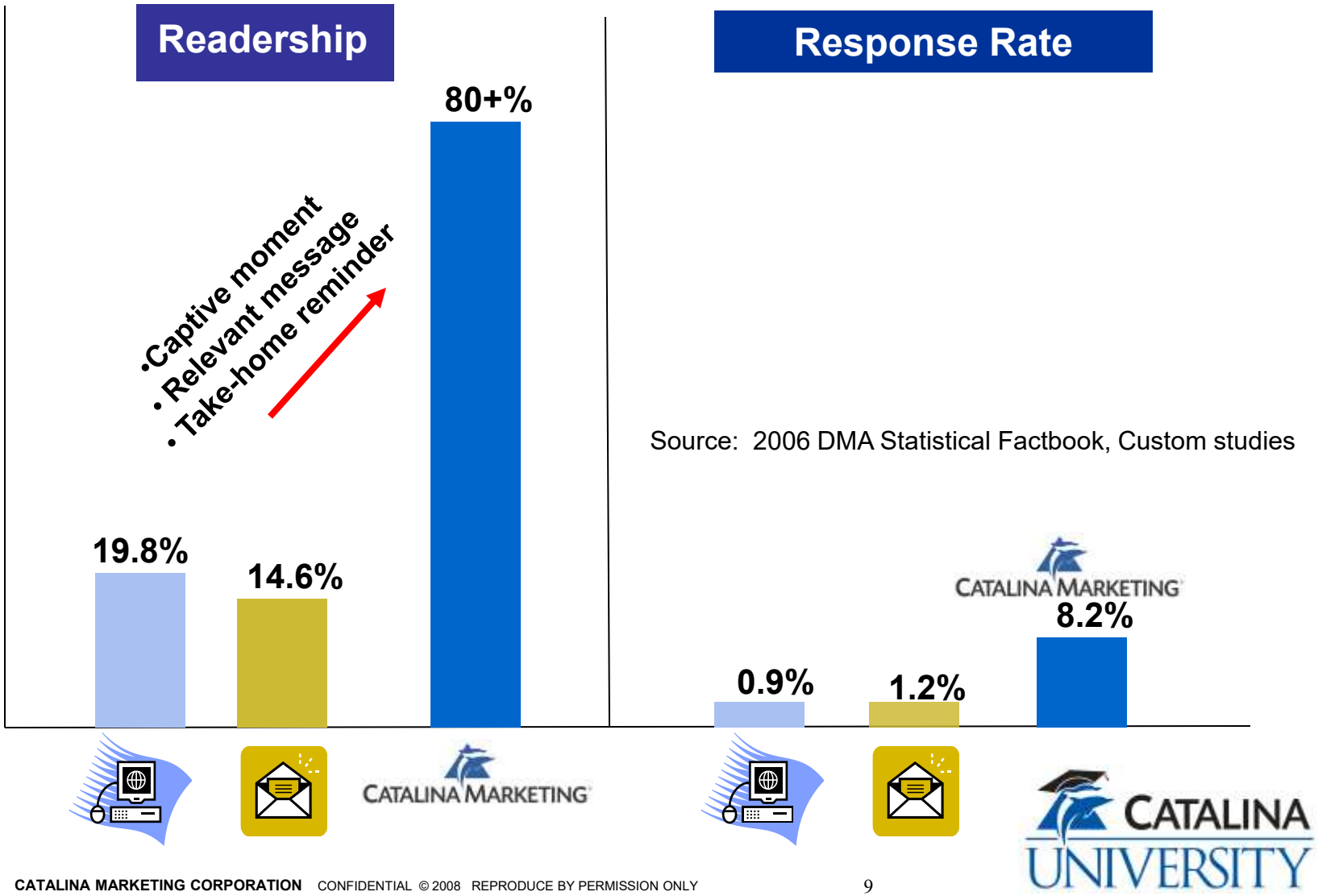
Shoppers that receive a Catalina message READ IT!



BASE: Test Respondents Recalling having Received Ad at Checkout

CATALINA UNIVERSITY

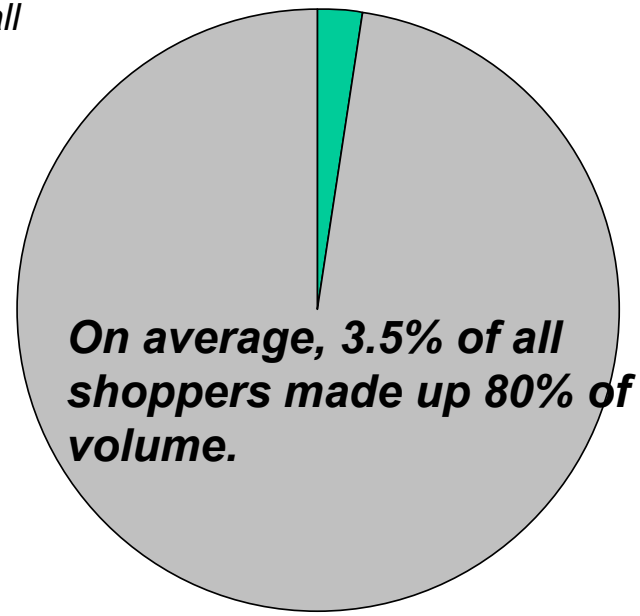
Industry leading response rates 8x's and readership 4x's other media



Source: 2006 DMA Statistical Factbook, Custom studies

The Catalina Solution reaches the exact right buyers with the right messages to drive results—Now even more imperative!

Brand	Top Brand Buyers[1] as a percent of *all shoppers*
Coke Zero	2.4%
Nabisco 100 Calorie Pcks	5.0%
Total South Beach	3.0%
Smart Balance Spreads	5.4%
Suave (Shampoo & Cond.)	6.4%
Propel RTD	3.1%
Lipton White Tea	1.2%
Diet Pepsi Max	1.3%



(1) Top Brand Buyers are those heaviest brand buyers who, as a group, account for 80% of brand sales.



CATALINA UNIVERSITY

 CONFIDENTIAL © 2008 REPRODUCE BY PERMISSION ONLY

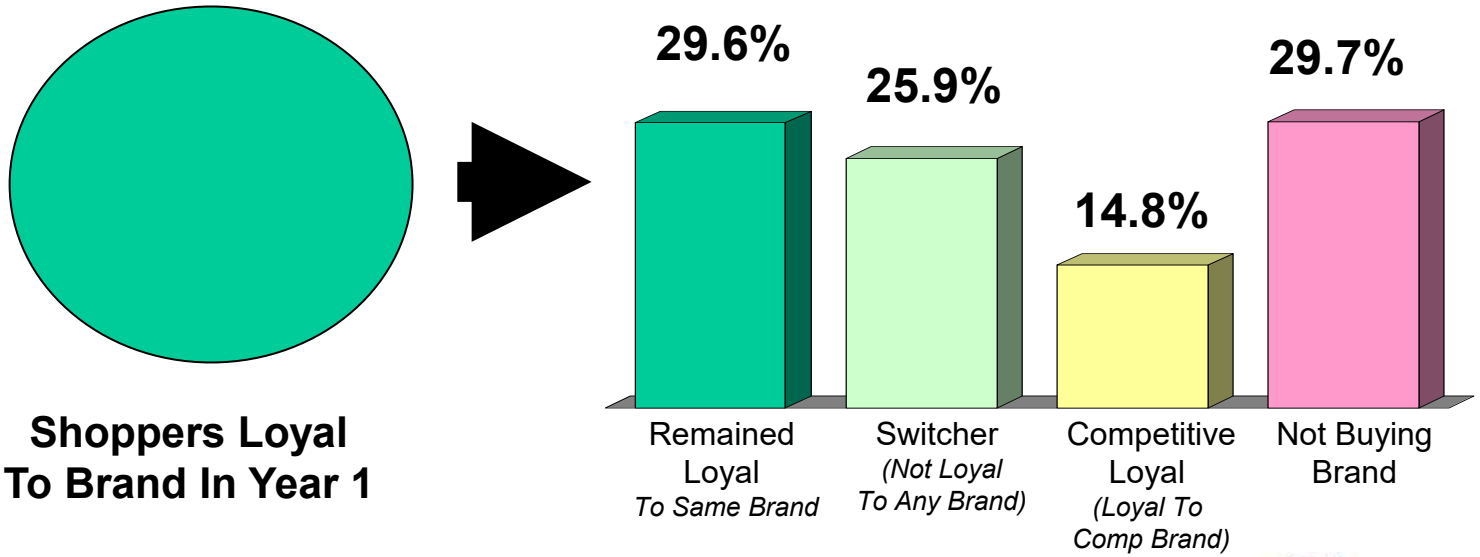
Catalina will keep your customers with you at Wal-Mart



Of the buyers that were loyal to the brand in year 1, only 29.6% remained loyal to that brand in year 2 (based on buyers of a major CSD Brand).

Year 1 Loyalty

Year 2 Loyalty



Shoppers Loyal To Brand In Year 1

Year 1: 11/28/05 – 11/26/06
Year 2: 11/27/06 – 11/25/07

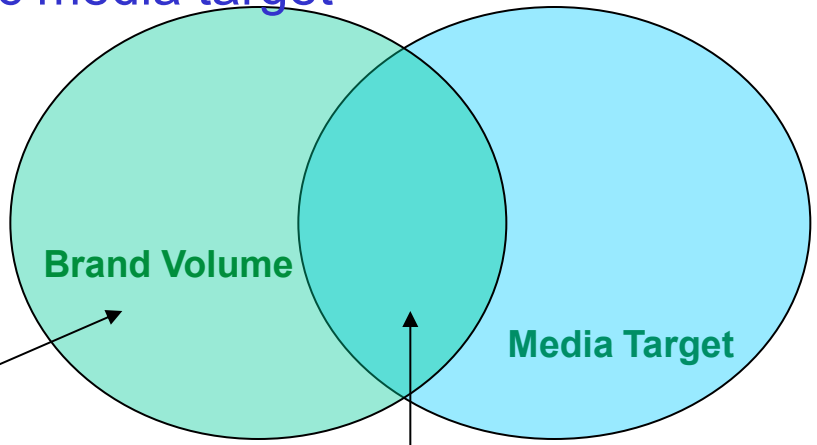
Brand Loyalty defined as 70%+ category share of requirements.

CATALINA UNIVERSITY

Catalina reaches specific, relevant customers that diluted mass media does not.

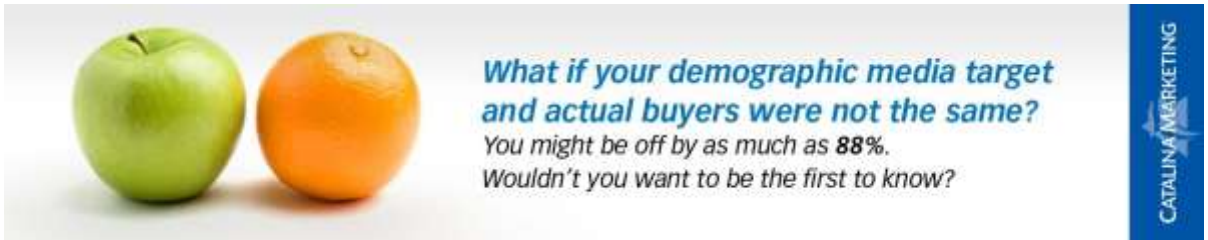
Analysis of 3 large brands reveals traditional demographic targeting missed between 50 - 88% of brand volume

One brand had 88% of their volume coming from outside their demographic media target



Most of the brand's volume is <u>outside</u> the demographic target

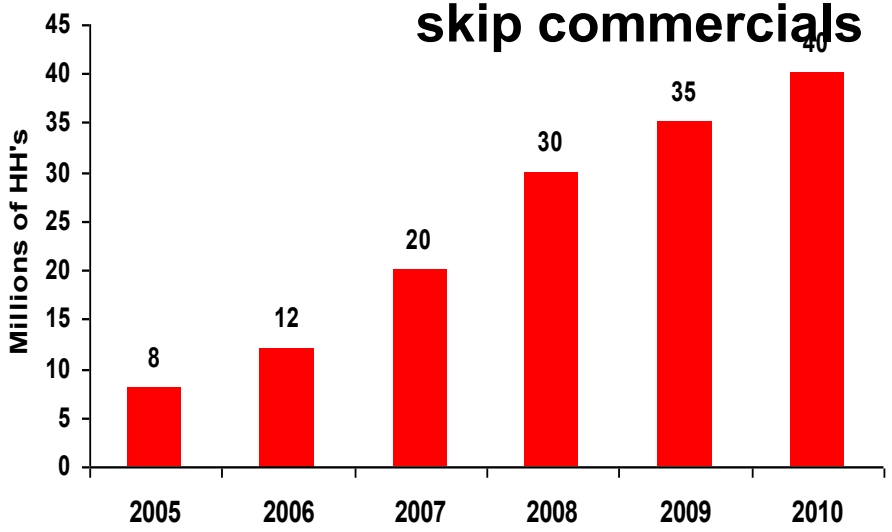
Volume reached by demographic target



CATALINA UNIVERSITY

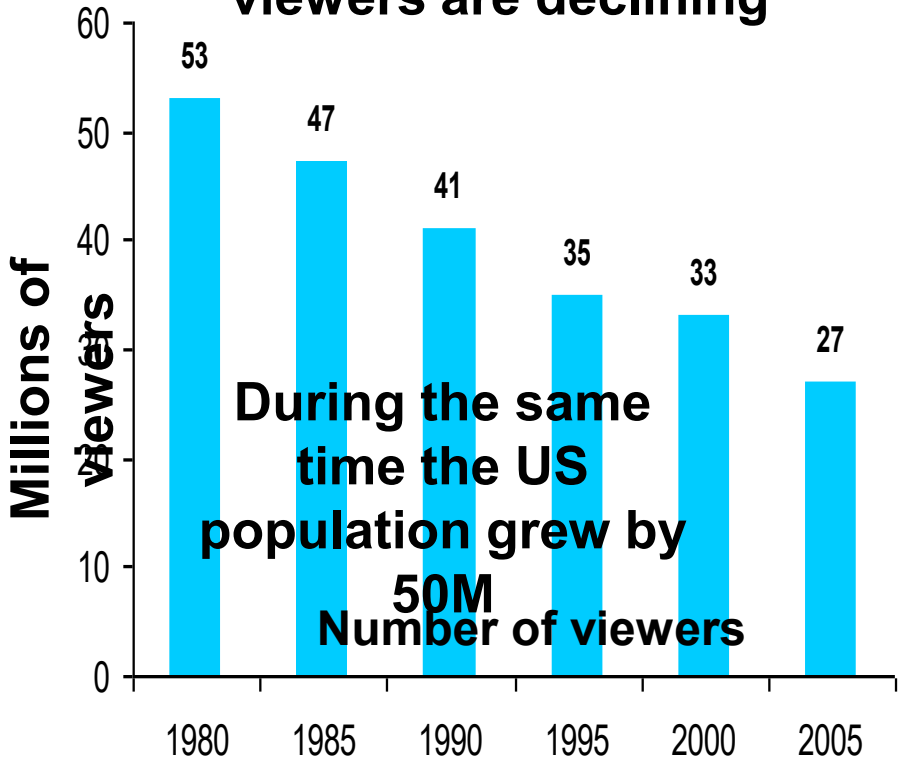
TV as well as Direct mail and e-mail impact is rapidly declining while Catalina's messages impact is growing +26% in last 2 years

70 % of households using DVR's, skip commercials



Number of HH's using DVR's

Major TV program viewers are declining



Source:
Nielson
Magna Global
Jupiter Research

Source:
Nielsen Media

CATALINA UNIVERSITY

“It feels like the company is trying to please me by making shopping easier”



Transcript of clip:

“It just makes
you feel like they (the retailer)
are trying to please you
and make your shopping easier.”

“It adds more life to shopping,”



Transcript of clip:

“It adds more life to shopping.
Because of the color and the appeal.
It makes me more excited
about the experience.
I like shopping and
I like to try new products.
If I can try them and save more money,
so much the better. “

CATALINA UNIVERSITY

Summary
The Catalina Solution…

Delivers needed sales and awareness better than mass media

Test approvals are complete and need ISD prioritization

Solves Supplier and Wal-Mart big challenges like:

- **increasing basket sizes**
- **crossing aisles to new categories**
- **building customer relationships**
- **inducing trial and sharing relevant information**
- **shoppers & suppliers like it**

Expedite ISD resources to implement test

CATALINA UNIVERSITY